

The U.S. government today is in disastrous shape financially compared to its condition prior to the Great Depression. For a century the most respected debtor in the world, the U.S. government now owes too much money and continues to borrow at a feverish pace. It is also a potential disaster as a creditor, which further weakens its position as a debtor. The government continues to lend to weak debtors through student loans, farm loans and loans to foreign governments, while borrowing at a frenetic pace to keep the whole operation going. It is therefore extremely vulnerable to a collapse in other financial sectors.

Perhaps most important, government has encouraged profligate, unsound banking practices for sixty years via a simple blanket "guarantee" of virtually all bank deposits. This guarantee is taken seriously by the nation's depositors. On March 14, 1995, the last failed Savings & Loan institution was closed out by the Resolution Trust Corp., which itself will expire on July 1, 1995. There has been a collective sigh of relief that the problem has been solved. Says one interviewee, "No one feels threatened any more. As long as you have less than \$100,000 in the bank, it's government insured." Few realize that the insurance fund has enough money in it to rescue about three banks. The FDIC, relative to its promises, is broke. In a depression, it will be called upon to pay off depositors in banks that hold worthless obligations and severely devalued collateral such as real estate. The next round of bankruptcies among savings institutions will be unmanageable.

The government's promises to foreign governments, banks, other institutions and individual bondholders are so great that a depression will surely lead to a massive increase in its obligations, while at the same time, tax receipts will plummet. The government's debt load, deficits and interest payments even after twelve years of economic expansion out of thirteen are monstrously high. If the economy enters a severe contraction, the Treasury will be hard pressed just to pay the interest on the national debt, much less any of the principal.

The simplest yet most profoundly indicative measure of the federal government's fiscal health is its interest expense as a percent of total receipts. Notice in Figure 16-15 that the steady and relatively manageable payout level of 11-12% ended in the late 1960s, at the orthodox Elliott Wave peak for the inflation-adjusted Dow Jones Industrial Average (1966) and Value Line index (1968). As explained in Chapters 3 and 13, those few years marked the long term cultural, financial and economic peak for the United States.